



MY **BIGGEST** **MONEY** MISTAKE

Rabbi Yisroel Shmotkin
MILWAUKEE, WISCONSIN

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PORT WASHINGTON, NEW YORK



Below are stories of two shluchim who, teetering on (and off) the edge of fiscal failure, changed their modus operandi by adopting a new approach to their finances. Not only did each leave his debt behind, but they both even expanded—and gained a new level of community prominence and respect from baalei batim, too.

The Brocha of Stability, Inside and Out

RABBI YISROEL SHMOTKIN

Rabbi Yisroel Shmotkin, the head shliach of Wisconsin for 44 years, has been fortunate to receive numerous instructions from the Rebbe. He recalls several occasions where the Rebbe advised him to tailor his activities to the financial conditions at hand.

BORROWING: THE BENEFITS AND THE BRUISES

We went out in 5729, before shlichus had a set form. We were zealous about reaching out to every possible Jew we could find, with complete disregard for financial reality.... Accounting and budgeting were not part of our training in yeshiva.

At that time, shluchim sent by Merkos were given salaries. When I asked to go to a new place, Rabbi Chodakov shared with me that the Rebbe wanted at least one shliach in every state, but there were no funds. We agreed that I would be paid six months' salary, after which I would be responsible for our income. When the six months ended,

the Rebbe extended it another six months, and from then on, I was responsible for myself. If I raised funds, (from selling *Talks and Tales* books, etc.), I was paid. But this wasn't enough, and I resorted to borrowing, borrowing, and more borrowing. It had its benefits: We reached baalei batim whom we'd never have connected to otherwise, which was spiritually beneficial to them, as well—enough to convince us that the borrowing was “worth it.”

Externally, we were thriving. Boruch Hashem, we had tremendous local support with a board consisting of the most prominent community leaders. But as much as they gave, it did not keep pace with our activities. Our ideology was (and is) that funds could be repaid later, but if you don't reach neshomos today, tomorrow might be too late. We did programs with or without funds, then looked to raise or borrow money, and only then looked for ways to repay it. I must say it worked quite successfully...to a point.

To me, it was part and parcel of shlichus. We borrowed and survived, borrowed and survived. I didn't feel I could do much about it, unless we cut programs, which was not a consideration.

THE REBBE'S GUIDANCE

The Rebbe never encouraged me to “go ahead and everything will be OK.” On the contrary, on a number of occasions, the Rebbe politely advised doing things within our means. No, the Rebbe did not say specifically, “Do not spend before you have money.” But if I'd been wise, if I'd been more of a Chossid and *listened*, I would have gotten it. It

took many years until the yeshua came and the Rebbe's brochoh that we get rid of the chovos was fulfilled.

In 5732, Shnas HaShiv'im, the Rebbe challenged Chassidim to establish seventy new institutions that year, adding that he would contribute the first ten percent towards any institution established. We found a building for a Chabad house, but despite the Rebbe's general appeal for new institutions, Rabbi Chodakov (I later understood that this came from the Rebbe) requested me to raise the remaining ninety percent or have the mortgage guaranteed by a baal habos. Rabbi Chodakov also cautioned me of the other expenses that come with a house, namely, needing someone to run it, and my becoming busy with fundraising rather than spreading Yiddishkeit.

At a later time when I wanted to bring a new shliach, the Rebbe wrote that since I didn't have the funds, I wasn't ready.

Looking back, it's clear the Rebbe was giving me advice: Keep a cheshbon; make sure you have money before spending it. I had been spending as much as eighty percent of my time and energy borrowing from one person to repay another and cover accumulated debts, bank overdrafts, and daily expenses.

I don't regret the stress or the white hair that resulted. I can't say we weren't successful; we were! Boruch Hashem, we changed so many lives, and we ran camps, concerts, and more. Other institutions looked up to and wished to emulate us, and we were greatly respected by our baalei batim. But there was a limit to their involvement. We were regarded as extraordinarily devoted Chassidim, but at the same time, we became a rachamonus case and lost credibility and influence in the community.

What bothered me most was the waste of precious time and the inability to do so much more. I was drifting like a ship on rough seas, losing control of our daily affairs.

REORGANIZATION

Through the years, I'd sought aid from baalei batim, but our situation was beyond their capacity to help. Our great success—even our existence alone—was miraculous; the Rebbe once wrote to me about being a “melumad b'nisim.” Miracles came literally on a daily basis. Still, we were practically paralyzed.

We decided to do a thorough cleanup and reorganization. A local foundation donated funds for a financial consultant. Examining every item in our programs, we cut duplications, concentrated on the vital parts, and put a hold

on the rest. Another consultant gave us an eighteen-month fundraising plan that would repay only half of our \$3.5 million debt while supporting our present budget. But that was fine; it was realistic. Our baalei batim, though doubting our ability to control our never-satiated desire, nevertheless contributed five to ten times their annual giving. It was then that we realized the depth of their love, respect, and support for our work.

Boruch Hashem, we lived up to our commitment. One example was our annual summer event, which usually brought 600-800 people—the community's largest Jewish gathering. However, it took much time with little financial benefit. We postponed that year's big event in favor of

using the time for fundraising and did a smaller event, instead. Then came Shnas HaMe'ah. How could we not have an event appropriate for the occasion? But my sons commented, “The greatest kovod for the Rebbe would be to get our organization together and stand on our feet.” They were absolutely right. The respect and influence we gained since then cannot be overstated.

A year later at the end of Shnas HaMe'ah, thanks to my sons' advice, we sponsored an event at \$1,000 per couple—unheard of in Milwaukee—with 200 attendees.

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ENCOURAGED ME TO “GO
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BE OK.”**”

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We began this process in the summer of 5760. As the targeted date of eighteen months came near, we had raised \$3 million, leaving us \$500,000 short. To prove that things were different, no longer “business as usual,” it was crucial that we meet the deadline in full.

“You will see,” I said, “it will come at the last minute from an unexpected source. This, to show us that it is not our wisdom or great planning that has made it successful.”

And so it was. We needed to do our job, but it was the Rebbe’s brocha that brought the Aibershter’s miracle. There was a baal habos who lived a block away from us and had contributed in our early days, but for 25 years, he hadn’t said as much as hello to me. Just when we’d begun our fundraising, he called out of the blue seeking some scholarly information. My son Mendel had become close to him, and the baal habos, having learned of our reorganization, offered to participate with a large sum. When he later learned of our continued difficulty, he offered a challenge gift: Motzo’ei Shabbos, December 29, he agreed that if we had \$250,000 by December 31, he would match it. Two other baalei batim came forward, and at four o’clock p.m. on December 31, \$500,000 was deposited into our account. This, boruch Hashem, closed the campaign.

Before, my quest to do our shlichus to its utmost kept us in desperation on the brink of financial ruin, limiting what we could do. Now, we devote our energy to programs. In the past few years at the height of the financial crisis, we hired four new shluchim and took over a failing day school. Boruch Hashem, all of Lubavitch of Wisconsin is financially stable.

In 5751, the Rebbe told me that I was already living with miracles, and the miracles should continue. In our wildest dreams, none of us expected them to turn out in the way that they did.

If only I would have listened to the Rebbe in the first place. ● >>>



Rabbi Yisroel Shmotkin (left) with Senator Joe Lieberman (right) at Lubavitch of Wisconsin's dinner marking the culmination of Shnas HaMe'ah. Spring 5763, Milwaukee, Wisconsin





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RABBI PALTIEL'S PRO TIPS

TO BE FOLLOWED BEFORE CRISIS HITS

- ➔ You can be optimistic, **but you have to work in this world, too.** For every project you start, do a cost-benefit analysis. Figure out how much it will cost, and ensure you'll be able to cover it.
- ➔ **Make cheshbonos.** Keep track of your expenses and budget so you know where your money is going.
- ➔ Don't borrow money whenever you have a bad month. **It's addictive, and it will have a terrible impact in the future.** Instead, ask a baal habos who has pledged money for later in the year to give you the money now.
- ➔ Even if you have baalei batim helping manage your finances, remember that this is still *your* responsibility. You have to be the CEO of your executive board.
- ➔ Allow your wife to take part! My wife's involvement has been one of the sustaining factors in my mosod's success.
- ➔ Ask for help. If you think you're stuck in a financial bind and that there's no way out, think again! Every problem has a solution. Reach out to family, fellow shluchim, financial advisors, etc. Don't keep your financial woes to yourself to the point that they become unmanageable. There is always a way to turn things around. Asei l'cho rav applies to this, as well.

Help From My Fellow

RABBI SHALOM MOSHE PALTIEL

Seven years after Rabbi Shalom Moshe Paltiel went out to Port Washington, New York, unexpected financial difficulties led him to continued borrowing to cover expenses. With the guidance of a shliach who'd been there—Rabbi Yisroel Shmotkin himself—Rabbi Paltiel saved his mosod and built a strong and thriving foundation to last.

IN THE BEGINNING

In the early years of my shlichus, I had a thriving preschool and soon built a full day school. For a while, everything seemed to be working smoothly, but after the economy soured, many parents couldn't afford the tuition we needed to keep the school running. Expenses were growing, and enrollment was dropping because of the high cost of tuition.... There wasn't the commitment that we'd expected.

I was in a bind: If I lowered tuition, more students could attend, but I'd need more resources *and* have less tuition to spend. If I raised tuition to cover bills, even fewer parents would enroll their children. With no exit strategy beyond dreaming of a grant to keep the lights on, I turned to Rabbi Yisroel Shmotkin for a loan, knowing that, having surviving his own fiscal troubles, he would understand my predicament. He graciously agreed to help. But one loan turned into another, and another; I got used to borrowing to keep the doors open.

Because it seemed the norm for so many shluchim, I didn't see that anything needed to change. But Rabbi Shmotkin did. With deep care, he finally said to me, "I love you, but if you don't change your focus and reorganize the way you operate, I'm not going to be able to help you out again." He made me realize that this cycle was keeping me from my real job—my shlichus of reaching Yidden! This wakeup call was given to me with the utmost love and encouragement, which I needed to realize what was going on, but also to know that I wasn't alone in this.

A NEW PARTNERSHIP

Rabbi Shmotkin referred me to another shliach with experience helping shluchim restructure and regain financial security and control. He helped me ascertain the root of my financial issues, helping me to develop a plan that would keep us out of the red. The only obstacle left was to raise the funds to pay off the remaining creditors.

From the Editor: *We decided to write this piece because we realize that debt is a major concern for many shluchim. What is crucial is determining whether the debt is coming from a place of growth and stability...or mere survival. It takes immense courage to talk openly in order to help another shliach see that while everyone goes through difficult times, there is always hope! I sincerely thank Rabbis Shmotkin and Paltiel for the honesty and care that went into this piece.*

Rabbi Beryl Frankel, Editor-in-Chief



*Rabbi Shalom Moshe Paltiel
giving a JLI adult education
shiur. Winter 5771, Port
Washington, New York*

I steeled myself to do the only thing I could: tell my “inner circle” about my financial problems. I confess...I was embarrassed. To me, it looked like a chilul Hashem. I was expecting to lose supporters.

But what I experienced was to the contrary.

Instead of being upset, my supporters were impressed with my honesty and pledged to help me turn things around and get out of debt. Looking at our new relationship as more of a partnership, they now see me as an honest, hardworking rabbi who listens to their financial advice.

I can’t begin to describe how my life has changed from this experience. I’m so grateful to the shluchim who guided me in the direction of financial stability. It has truly changed my life. Today, I can focus on being a shliach, developing relationships, and having a real effect on people. Now, when I go to the Ohel, instead of only davening for success in fundraising, I also daven for success in having a positive effect on people’s lives. And aside from saving a few thousand miles on my car running from one rabbi to another to borrow and survive, I have the immense peace of mind knowing that my time, energy, and money are going towards the right thing: growth, upwards and onwards. 🇮🇱

Written by Nochum Waldroop

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